One of the best ways to mitigate risk is by understanding your risk profile, because not all stocks and funds are created equally. Once you’ve decided what you’re investing for and how long you’re investing for, you can work backwards to decide what you want to invest in.

Risk is one factor to determine your approach to investing, but you can also apply different strategies, which are covered in the next three chapters.

Actionable steps

1. Research a company whose stock just dropped. See if you can find what caused the drop (e.g. bad earning report, poor future prospects, loss of investor confidence).
2. Research the economic growth, unemployment rate, inflation and interest rates (the macro factors) in your local economy.
3. Determine the timeline of how long you’d want to invest for.